

exuberantly happy, TV anchors put on party caps and cut cakes. When he throws a major tantrum by crashing down, they look as if somebody died. If a government that the 'market' does not like comes to power, Mr Sensex makes his blue mood clear by falling like a stone in water. When the government announces more economic reform, such as the GST (goods and services tax), he throws a party by touching a 'lifetime high'. Who's this Mr Sensex and why should we worry about his up-and-down moods?

Well, as long-term investors, my suggestion is to ignore Mr Sensex. But before you do that, understand who he is, why he is irrelevant to your life in the short term, but very important in the long run. To understand Mr Sensex better we need to understand a stock market index, because that's what he is. What is an index number? It is a number that shows the change in price of something when you compare it with its price in the past. Chew over this line just a bit. We are using a number to track changes in a price.

Let's understand this better. We use an index number all the time and that is the inflation index. We experience inflation when we go to buy things, and we read about inflation when the government releases data. We've all read that inflation is up or down, but what does that mean? It means that the index number – the consumer price index – that tracks consumer inflation is going up or down as compared to the previous number.

What is the inflation index made up of? Does it comprise all the goods and services in the country? That would be an impossible task, so the index is made up of the most representative items, such as food, fuel, clothing, housing, among others. The big spends for the consumers are included as representative of all the expenses. Each of these further breaks down into its most representative items.

For example, food will further include cereals, egg, meat, fruits, vegetables, milk and beverages. Each of these categories will get further broken down into its most representative items. For instance, there are over thirty varieties of mango in India, but the index will only include a few based on how popular a type of mango is and how large its share is in the total sales of mangoes in the country. Yes, I'm sure *haphus* is there in the index.